Businesses in the UK Biscuit Retail Market

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Multinationals in the UK biscuit market

- The UK biscuit market is **dominated by a relatively small number of large multinational businesses**
  - There is a wide range of biscuit brands available to consumers
  - Ownership of these brands is concentrated among a handful of global food companies
  - These large firms hold significant **market power**, particularly when negotiating with supermarkets and securing shelf space
  - Competition is intense, especially in value and family biscuit categories

Top multinationals in the UK biscuit market

Multinational business	Main UK biscuit brands
pladis (owned by Yıldız Holding)	• McVitie's, Digestives, Rich Tea, Jaffa Cakes, Hobnobs
Mondelēz International	• Oreo, belVita, LU
Fox's Burton's Companies (FBC)	• Fox's, Maryland, Thomas Fudge's
Lotus Bakeries	• Lotus Biscoff, Trek, Nakd
Bahlsen Group	• Bahlsen, Leibniz

- These companies dominate supermarket shelves and benefit from:
  - Strong brand recognition
  - Large-scale production
  - National distribution across all major retailers

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Case Study

pladis (McVitie's)

- pladis is the **single most important multinational in the UK biscuit market**, largely due to its ownership of McVitie's
  - McVitie's is one of the **best-known and most widely purchased biscuit brands in the UK**
  - It has a strong presence in almost every major supermarket and convenience chain
- pladis uses McVitie's heritage to defend its position in a mature and **highly competitive market**, where most households already buy biscuits regularly

Target markets

- pladis targets a broad mass market but segments it carefully by occasion and need
  - **Everyday biscuits**, such as Digestives and Rich Tea
  - Indulgent **treats**, such as chocolate-coated biscuits
  - **Younger consumers**, through innovation and limited editions
- Recent product launches have been designed to appeal to younger shoppers and social-media-led trends, including:
  - McVitie's Hot Honey limited edition
  - Expansion of Jamaica Ginger into new flavour variants

Business objectives

- Protect market leadership in everyday biscuits
- Drive value growth through **innovation**
  - This is particularly important because sales volumes in sweet biscuits have fallen, even when sales value has increased.
- Attract younger consumers who may snack less traditionally

Recent performance and market context

- According to industry data reported by *The Grocer*:
  - **Sweet biscuits grew by 2.6% in value**, but volumes fell by **3.5% (17.1 million kilos)**
  - This shows that growth is largely **price-driven**, not volume-driven
- pladis has responded by focusing on:

Help me understand

ranges

Case Study

Mondelēz International

- Mondelēz is a major multinational in the UK biscuit market through brands such as **Oreo, belVita and LU**
- While it is better known for confectionery, biscuits are an important part of its wider **global snacking range**

Target markets

- **Younger consumers**, particularly with Oreo
- **Health- and lifestyle-conscious consumers**, with belVita

Business objectives and performance

- Mondelēz focuses on:
  - Premium positioning, particularly with LU
  - Linking biscuits to specific consumption moments, such as breakfast or on-the-go snacking
- *The Grocer* reports that:
  - Mondelēz's LU biscuit range grew **12.1% in value and 12.7% in volume**, following a redesign that emphasised premium quality and French heritage

Case Study

Fox's Burton's Companies (FBC)

- FBC is a key multinational company in the UK biscuit market, owning **Fox's, Maryland and Thomas Fudge's**
- It competes strongly in both mass and premium biscuit markets

Strategy and performance

- FBC has argued that the UK biscuit market is not simply a race to the bottom on price
  - Instead, it has focused on **premiumisation**
  - It believes premium biscuits can still grow, even when consumers are cutting back elsewhere
- *The Grocer* highlights:
  - Thomas Fudge's has grown by **over 200% year on year**
  - Fox's delivered **2% sales volume growth**, despite market sales volume decline

Why multinationals dominate the UK biscuit market

- Large multinational biscuit producers benefit from:
  - Economies of scale in production and distribution
  - Strong relationships with supermarkets
  - Ability to absorb rising costs and invest in innovation
  - Large marketing budgets to support brand visibility

Independents in the UK biscuit market

- Independent biscuit businesses are typically **small or medium-sized firms** that are not owned by large multinational food companies
- Unlike multinationals, independents usually do not compete on price, volume or national supermarket dominance
  - Instead, they focus on **quality, tradition, craftsmanship** and **differentiation**
- Although independents account for a **small share of total UK biscuit sales**, they play an important role in:
  - premium and heritage biscuits
  - gifting and seasonal products
  - regional and local food markets

Market position of independents in the UK biscuit market

- Independent biscuit businesses have **limited presence** in mainstream supermarket aisles
  - They lack the economies of scale needed to compete on price
  - They also face strong competition from own-label biscuits
- However, independents remain resilient because they target **different consumer needs**

Where independent biscuit businesses compete best	Where independent biscuit businesses are weakest
• In niches where consumers are: ○ less price sensitive ○ looking for quality, tradition or gifting ○ willing to buy from specialist retailers or online • They perform particularly well in: ○ **Handmade and hand-finished biscuits**, such as those sold for special occasions ○ **Traditional British recipes**, such as shortbread and butter biscuits ○ **Premium gifting tins and boxes**, especially at Christmas and Easter	• In niches where consumers are: ○ **Highly price sensitive**, and prioritise low cost over quality or provenance ○ **Looking for quick, everyday purchases**, rather than special treats ○ **Unwilling to switch retailers or pay a premium** for biscuits • They are particularly weak in: ○ **Impulse biscuit purchases** that are dominated by familiar brands sold at tills and in promotions ○ **Convenience retail,** which favours fast-selling, widely recognised brands with reliable supply ○ **Price-driven family biscuit segments which** focus on value, multipacks and own-label options

Examples of independent UK biscuit businesses

Independent business	What makes them distinctive

Grandma Wild's	• Traditional recipes, heritage branding, gifting tins
Moores Biscuits	• Handmade, family-run, premium biscuits
Williams Handbaked	• Artisan biscuits, small-batch production
Cartwright & Butler	• Premium biscuits and gifting, heritage branding

- These brands are more likely to be sold in farm shops, garden centres, visitor attractions, delis and specialist food retailers and premium online gift stores

How independents compete

Craft, quality and heritage

- Independent biscuit businesses often emphasise:
  - traditional baking methods
  - simple, recognisable ingredients
  - family-run or long-established business stories
- This appeals to consumers who associate independents with **authenticity** and **trust**, especially when buying gifts

Premium pricing and value perception

- Independents usually charge **higher prices per pack**, but justify this through:
  - better ingredients (for example real butter)
  - hand-finished products
  - attractive packaging for gifting
- Consumers buying these biscuits are often:
  - older
  - higher income
  - purchasing for special occasions rather than everyday use

Resilience during the cost-of-living crisis

- Biscuit sales have remained **relatively resilient**, even during periods of economic pressure, because they are seen as affordable treats
- For independents:
  - some consumers cut back on eating out and choose **affordable luxuries** at home
    - premium biscuits especially benefit from this trade-off
  - gifting remains important, particularly at Christmas
- This has helped many independents survive despite rising costs.

Island Bakery

- Island Bakery is a small UK biscuit producer based on the Isle of Mull
- It specialises in **organic biscuits** and promotes strong environmental credentials

Target market

- Ethically conscious consumers
- Premium food shoppers
- Customers buying gifts or treats rather than everyday snacks

Business objectives

- Maintaining organic and ethical standards
- Growing sales without compromising sustainability
- Building a strong brand story linked to location

Strengths and challenges

- Strength: strong differentiation through ethics and sustainability
- Challenge: higher costs and limited ability to reduce prices

Case Study

Grandma Wild's

- Grandma Wild's is a long-established family business with roots dating back to the late 19th century
- It is known for **traditional British biscuits** and heritage branding

- Gift buyers
- Customers who value tradition and nostalgia

Business objectives

- Protecting the brand's heritage
- Growing seasonal and gifting sales
- Maintaining quality rather than mass production

Market position

- The brand performs particularly well at **Christmas**, when gifting tins are popular

Case Study

Williams Handbaked

- Williams Handbaked is an artisan biscuit maker based in Yorkshire, focusing on **handmade biscuits** produced in small batches

Target market

- Premium biscuit buyers
- Food enthusiasts
- Customers shopping in farm shops and delis

Business objectives

- Maintain craft production methods
- Build reputation through quality and word-of-mouth
- Avoid competing directly with large brands

Challenges

- Rising ingredient and energy costs are a major issue, as prices cannot be lowered easily without damaging the premium image

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